ASML HOLDING N.V. VALUATION SUMMARY

Prepared by: **Tadeusz Godlewski** | Valuation Date: **19 May 2026** | Methodology: **FCFF DCF** | Standard: **Fair Market Value**

€724.29	€1,249.80	−42.1%	8.55%	3.05%
DCF Fair Value	Market Price	Implied Downside	WACC	Terminal Growth
per share	**19 May 2026**	**to fair value**	**Blume-adj. beta**	**Gordon Growth**

COMPANY OVERVIEW

Company: ASML Holding N.V. (NASDAQ: ASML)
HQ: Veldhoven, Netherlands
Sector: Semiconductor Capital Equipment
Position: Global monopoly supplier of EUV litho systems
FY2025 Revenue: €32.7bn | CAGR 2022–25: ~15.5%
FY2025 EBIT Margin: 36.9%

INVESTMENT THESIS

- ASML is the sole global supplier of EUV and High-NA EUV lithography systems, with no credible near-term competitor.
- AI-related capex from TSMC, Samsung, and Intel should support continued demand for leading-edge lithography systems.
- Service revenue should continue compounding as ASML's installed base expands from 5,518 systems to more than 13,000 by 2035E.
- Forecast revenue CAGR of ~10.55% (2025–2035E).

VALUATION METHODOLOGY

ASML was valued using a driver-based FCFF DCF model. The model estimates fair value at €724.29 per share, compared with a market price of €1,249.80 as of 19 May 2026. This implies approximately 42% downside and suggests that the current market price reflects a substantial premium to intrinsic value under base-case assumptions.

ASML remains a high-quality business with a strong competitive position, supported by EUV dominance, AI-related demand, and long-term growth potential. However, under the model's assumptions, the stock appears overvalued with limited margin of safety.

A multiples valuation was used as a supporting cross-check but excluded from the final fair value estimate due to ASML's limited comparability with listed semiconductor equipment peers.

CONCLUSION

ASML remains one of the highest-quality businesses in the semiconductor value chain, supported by its EUV monopoly, AI-related demand, and expanding service revenue base. However, the current share price appears to already reflect much of this upside. Based on my DCF assumptions, the stock offers limited margin of safety at today's valuation.

Full Excel valuation model available, including detailed forecasts, DCF assumptions, sensitivity analysis, and supporting schedules.

FINANCIAL FORECAST SUMMARY

Year	Rev (€bn)	EBIT (€bn)	Margin	FCFF (€bn)
2026E	40.7	15.1	37.2%	4.8
2027E	47.3	17.7	37.5%	9.7
2028E	53.5	20.2	37.8%	11.4
2029E	59.1	22.5	38.1%	13.0
2030E	65.3	25.1	38.4%	14.6
2031E	70.8	27.4	38.7%	16.3
2032E	75.6	29.5	39.0%	17.8
2033E	80.3	31.5	39.3%	19.2
2034E	84.8	33.5	39.6%	20.6
2035E	89.1	35.5	39.9%	21.9

DCF KEY ASSUMPTIONS

Risk-Free Rate: 3.315% (Netherlands 10Y Bond)
Market Risk Premium: 4.23% (Damodaran)
Beta (Blume-adj.): 1.247
Terminal Growth Rate: 3.05% (reinvestment-rate linked)
Enterprise Value: ~€270.6bn
Shares Outstanding: 385.42m

SENSITIVITY ANALYSIS

WACC / Terminal Growth Rate:

Sensitivity Analysis of Estimated Share Value to Changes in WACC and Growth Rate

		Change in Growth Rate (g)						
€	724.29	-15%	-10%	-5%	0%	5%	10%	15%
Change in WACC	15%	555.35368	562.609233	570.183624	578.0983409	586.3768485	595.0448181	604.130395
	10%	593.443543	601.942407	610.839274	620.1627703	629.9443382	640.2185856	651.023697
	5%	636.750237	646.787517	657.327885	668.4101357	680.0771597	692.3764959	705.36098
	0%	686.400598	698.366043	710.976562	724.2857674	738.3533783	753.2461212	769.038786
	-5%	743.869986	758.287943	773.546769	789.7222357	806.8994977	825.1745954	844.656251
	-10%	811.128245	828.719359	847.427792	867.363488	888.6513041	911.433628	935.873568
	-15%	890.865731	912.645407	935.943721	960.925247	987.7792287	1016.724384	1048.01488

KEY RISKS

- **Revenue forecast risk:** Valuation is highly sensitive to ASML's ability to sustain double-digit revenue growth through 2035E. Slower EUV/High-NA adoption would reduce fair value.
- **Geopolitical / export controls:** Further restrictions on sales to China could limit revenue growth and increase customer concentration.
- **Customer concentration:** Demand remains heavily dependent on a small group of leading-edge customers, especially TSMC, Samsung, and Intel.
- **Valuation / premium risk:** ASML's monopoly position justifies a premium valuation, but much of that premium appears to be reflected in the current share price. Further upside depends on ASML outperforming base-case revenue, margin, or terminal growth assumptions.